The AI Data Center Boom Has a Jobs Problem

Podcast: Know your risk

AI Executive Summary

1. Core Thesis: The episode argues that modern financial markets have become dominated by short-term noise, high-frequency trading, and sector correlations rather than fundamental price discovery, creating significant "dumpster diving" opportunities for value investors who ignore market sentiment and focus on long-term fundamentals. The hosts contend that the most efficient technology (and AI) is economically unsustainable for local governments due to labor reduction, while advocating for public-private partnerships in infrastructure to balance efficiency with social benefit. Furthermore, they suggest geopolitical inefficiencies—specifically regarding the Strait of Hormuz oil flows and US administration policy—are currently exacerbating economic risks rather than resolving them, necessitating a return to disciplined strategic frameworks similar to those found in successful sports franchises.

2. Key Arguments & Data:

3. **Market Performance:** Small caps rose ~1.2% despite muted index moves; XUS +0.6% largely due to a weak dollar (-0.1%) and Yen volatility (+1%). Gold miners up 3%; volume down 4%. Broadcom missed estimates by -6-7%.
4. **Market Efficiency:** ~80% of price discovery is "noise" created by sector relationships and high-frequency trading (HFT). Price discovery has been neglected by value investors, but this creates opportunities during period resets.
5. **Profit Margins:** Historical S&P median profit margin is 16%. For the last two decades, margins have surged to >50%, correlating with high cultural angst and wealth concentration.
6. **Japanese Economic Model:** Japan maintained industry/manufacturing labor share of GDP for 25+ years by sacrificing individual net worth and returns (margins), a model viewed favorably for potential US adoption regarding infrastructure.
7. **Oil Supply & Geopolitics:** Strait of Hormuz flow averaged ~4 million barrels/day from war start to now (pre-war normal was ~17M bpd). US

policy is described as "inefficient but extraordinarily hostile," shifting tactics every 2-3 weeks with no overarching framework.

8. **Infrastructure & Policy:** Data centers offer economic benefits but create few local jobs due to high automation. The hosts advocate for tax write-offs or public-private incentives tied to revenue paid to employees/revenue from hiring new staff.

9. **Specific Investment Case Studies:**

    - **I-80 Mining:** Investors should value assets based on tangible balance sheet items (e.g., autoclaves capable of generating cash flow regardless of market cycles) rather than just commodity price exposure.
    - **Software & AI:** Companies potentially negatively impacted by AI (e.g., Trade Desk) are ripe for disruption and buying. Salesforce's high valuations relative to performance are questioned due to narrative hype.

10. Actionable Takeaways:

11. **Invest in "Smoked" Sectors:** When a sector experiences heavy pressure or gets "smoked," dig into the companies underlying the trade (e.g., Trade Desk) to find undervalued value rather than following the market's fear.
12. **Focus on Tangible Assets:** Look for companies with balance sheet assets that have intrinsic stability independent of bull markets, such as I-80’s autoclave or other hard infrastructure.
13. **Adopt a Strategic Framework:** Like sports teams should not rely on fads (offense vs. defense), portfolio management requires a consistent philosophy to handle volatility and drawdowns, specifically cutting losses when the process is violated rather than hoping for reversals.
14. **Support Non-Sexy, Undervalued Sectors:** Consider opportunities in overlooked sectors (e.g., manufactured home REITs with 22% historical returns) where competition is thin and researchable fundamentals exist.
15. **Monitor Geopolitical Supply Risks:** Acknowledge that oil supply through the Strait of Hormuz remains critically constrained (approx. 4-

7 million barrels/day); maintain positions if there is no evidence of resolution regarding the conflict or infrastructure.

16. **Advocate for Structural Change:** In your personal investments and political discussions, push for policies that incentivize human employment in capital-intensive industries rather than accepting purely profit-maximized efficiency models (like data centers).

Full Transcript

The best AI is going to be really efficient, which means it's going to use a lot of power and not a lot of people. And that's not necessarily a great bet for a mayor or a governor. And I think it's why you see some pushback. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember, investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the Daily Dots. And I am joined as always by the brain trust himself, Mr. Chase Taylor. Random comment, tech comment of the day. You know what kills me about technology? You would think that things happen in a very, here we go. Chase knows what's coming here. No, because we're recording this will not lead to you hearing me yelling at my computer or my sound board in the other room. which is of course has never happened for people at home. I've never gotten mad at the software or the tech. No, never. Always in perfect control when it comes to the tech. But what is it about every single time we have ever recorded on this website, when we are ready to record the red light, the little red button pops up and it says recording 001, right? Every single day, that's what it's, every time we've used it, today it popped up five seconds in.

Recording 005. You know what I mean? Like I, I know nothing can be perfect. Function out. You know, I don't need the, I don't need the programmers or the code writers calling in or emailing in saying, I'm an idiot. I know I tech not technologically speaking, I'm as bad as they come. But just that stuff just, ah, it, it, it just grates me now. Anyway, um, we need to, we need to feel like every segment where you can just tell people what

grinds your gears that day. Yeah. Yeah. You know what was funny? I haven't listened to a full one. I've heard a couple here and there, but Tim Dillon does a podcast. Basically his podcast is him just raging and ranting on every single thing that takes him off. And I was like, that'd be like cathartic, you know, just to, just to get, I mean, you don't want to, you don't want to stay in that mode, but it would be kind of nice. Anyway, lots of discuss, obviously, kind of a, I kind of thought, I'm interested to get your reaction. I kind of thought it was a bit odd in terms of price action today, but let's break it down. Let's go through the rundown and let's take it from there. Yup. So SAP closed up 0.44, about the same for equal weight. Qs were up 0.24. Nice day for small caps up a little over one, close to 1.2%. Max seven was up 0.78. So it did a lot of the work today.

You had all world XUS up about 0.6. And that was thanks in part to the dollar being down 0.1. Though dollar yen was kind of the story in FX. The yen was up about 1% at last check. As far as Mac7 went, you had meta up about two and a half and video a little over three. None of the other moves were very big. One of the reasons today went okay, especially for small caps, the two year yield was down three basis points. The 10 was down about two and you're pretty flat on the 30 year oil Super flat. You're at 0.3 on the day So not much to say there gold up about 1% same for silver gold miners up about 3% vol down 4% on front month and two and a half even on the second month So pretty pretty big move there 16 and a half on front month of all AI trade was decent today of about 2% on DRAM, 1% on semiconductors. So, pretty quiet day as evidenced by the vol compression there. Week dollar I think helps with stuff today even though it wasn't super weak. Yeah, that's the, that's that whole dollars, you know, that we've been talking about that a lot, right? That dollar strong dollar week, you know, swinging everything, and that's always going to be the case in these markets.

I mean, in any market, you know, the dollar's moving, that's going to be your big one. But I mean, that was a pretty strong bounce back, especially on some of the precious metals, some of those names. Pretty big reversal and a lot of stuff that happened today, today based on a very muted move by the dollar. I mean, the dollar, you could say it was, I mean, it was flat, right? Down, were we down 0.01 or something like that? Yeah, 0.1, I think it was,

but the yen move, yen messes with some correlations more than just regular. Dixie sometimes so I think I think that was part of it But when I look at this like you know foils up a good bit tomorrow and rates are up then all this stuff that bounced today is probably gonna get smacked tomorrow Yeah, just kind of a I mean I literally think that we were up today I want to say it was like five or six basis points different from what we were down yesterday like just I mean almost like a perfect mere reversal which I wish I wish I could tell you 15 out of the 20 times that's happened in the past. Here's how things played out. I unfortunately do not. Alas, I do not. But I do think that I've been thinking about this a lot as I've kind of taken my pseudo sabbatical here. I'm thinking about efficiency of markets and I think the way that you have to look at it. And again, whenever you make these observations, you're looking at things that are somewhat evergreen. I think very few things are new in markets. I think that what is quote unquote new is what tends to be the thing that is creating the most gravity, right? The thing that is creating the biggest wind, right? The thing that is meaning the most for price movements on a day-to-day basis. That switches, right? Typically, it's not like you get brand new drivers.

But what I see is I see a market that seems to be still dominated by sector relationships, sector pressures, types of rules that we see in high frequency trading and systematic trading and all that kind of stuff that we know. And yet that price discovery that felt like Had left the markets for such a long period of time that was such a such a frustration for value investors like me That seems like the trend, you know, we're just underneath the surface you see that Slowly that price discovery it feels like those deltas between, you know So many of the international stuff that are so ridiculously under under priced as it relates to, you know us assets that those are getting it just it feels like we're you know that that 70% of the noise 80% of the smoke and noise is still created by intraday movements and correlations between assets and different trades and being long short this but That underlying value it feels like we're bouncing back harder on those kinds of things after we get a bit of a knockdown and more importantly when we start Storming back after those things have getting hit and we can pull up examples of this not being the case But those things have been tended to lead or be at the front of that kind of recovery mood I just I guess what I'm saying is I continue as always right? We're looking over our shoulders looking for the risk side of things

first. I just as it relates to, you know, and this is certainly us talking, or it's me talking our book, but it's certainly as it relates to how we're positioned. I just keep seeing constructive signs that point to, or at least to me that are reinforcing the idea that we're in the right place. Yeah, for sure. Before I comment on that, just some breaking news. Broadcom missed their estimates and down like six, seven percent after hours, so that won't be great for the cues.

Yeah, as far as like what you're talking about To me like the day-to-day week-to-week month even month-to-month quarter-to-quarter correlations and All that most of that stuff's noise except for where it creates opportunities the way it kind of did with software in the last few months for the most part like To me it's all about keeping your eye on on of where we're gonna be five years from now like that. What do you know? is very likely to be true in five years. And then just be like, all right, blinders. Just focus on that, buy the pullbacks in that stuff. Understand, but it's important to understand why they're all happening. I think some people just flush some of the craziness that happens in markets. If flush it, they don't even dig into it. To me, it's important if something weird is happening.

Now it doesn't mean you're always going to figure out why it happened, but you better, you better try your best to figure out exactly why it happened so that you understand it. Just so to me, like a perfect example of that is that software thing where it's like, if you just bought into the narrative of like AI is going to kill software, then it all made sense to you. But if you, if you instead bought into the narrative of not just a bunch of idiots or short software to be long, to fund their long AI trade, that's when you realize like, oh wait, this is actually a nice opportunity for like a snapback trade. Yeah, well, look, I think one of the other things you look for is when markets are being stupid and it's like become sacrosanct to say that the market always knows. No, it doesn't. I can give you examples, you know, as long as the day is long of the market just being stupid and being idiotic and pricing things down. When the market is throwing out the bathwater, there are always a few babies thrown in there, at least, at least. And whenever you see that kind of writ large, oh, These things all have to go. Ding, ding, ding, ding, ding. Of course there's things that are going to be in that bundle that get thrown out with the bathwater. And if you buy them and everybody asks

you, what in the hell are you doing buying that? That's probably confirmation that you picked the right ones. You know what I mean? You and I, we jokingly refer to it as dumpster diving. Like just, hey, when it gets thrown out, man, I guarantee you.

there's going to be good stuff in there, especially in today's world. When you look at how much of these, go look at how much of the world and how much of the capital flowing around markets is traded based off high frequency trading. Look how much of it's in these, you know, sector based ETFs, right? And so you've got more of that, more of that money, right? In those types of vehicles by, you know, exponential, not way more than ever in the past. And so when those things get hit. Again, I just think you have to think of course I'm not telling you anything that is revolutionary when I say if a sector gets smoked, go in there and look for value. I'm just saying it's even more today because of those factor games and because of the index, how top heavy the index have gotten and the correlations. There's just more of it today. And I mean, there were things generally speaking in the world of software that I think will be negatively impacted by AI. A lot of those things have bounced back too. But bottom line, there were just several narratives going along in the software world where you just sat there and went, look, I could be wrong. I don't see any way that's going to be negatively impacted by AI at any time in the near future. And so far, the results on those companies, at least the ones that we've been looking at. Now, we can point out a few that we thought would be negatively impacted. Trade desk comes to mind.

That just seemed like one that was just ripe for disruption, because AI literally can do one of the main value propositions that they offered clients now. So that one was clearly in the targets. I was looking at everybody getting really excited about, now on the flip side of it, everybody getting all excited about the results sales force put up. When you went and looked at the growth numbers and everything based on what the stock was trading at, I mean, I don't think they're overpriced. I don't think I would be screaming for people to dump them, but they're not cheap. And a lot of people are going, oh, they're going to go back to trading at 45 times earnings, 50 times earnings. Well, not with that performance or not. They're not going great guns by any stretch of the imagination. So anyway, I just obviously not

saying anything revolutionary, but when you see a whole sector get smoked, Now, that's not saying it's going to work immediately. A lot of times, you know, that haze can hang over a sector and kind of mute anything from popping up for the same reasons that created the opportunity in the first place, right? It's getting held down by all of its peers and being stuck in that, you know, and even if the value investors are the marginal buyers that you and I talk about, what you've got to look at is why isn't that thing getting off the mat? Why isn't it coming up? Well, I mean, If 80% of its daily share volume is accounted for via ETF trading, then those individual marginal buyers, those guys looking for individual shares in a valuable stock, their purchases are going to get swamped out. So while it provides you these opportunities, I think you also have to be more patient in kind of waiting for them to play out. And I think a lot of our gold and silver miners were a perfect example of that.

They did what we thought they did. They just didn't front run any of that data and any of the earnings would, you know, classic example of me looking at that and going, okay, if the market's all seeing, we must be wrong here. But I know what's happening on the ground. And I know that's not getting baked into the price. And you just watch the market just being so slow to build that into the price. So I think it adds to frustration, but it's certainly creating a lot of opportunities. Yeah, I feel like if it's a sexy theme, it will price in the next 10 years growth now. And if it's not sexy, it will wait for realized earnings to move, which is a wild dichotomy. Yes, but it's also a hell of an opportunity if you can see it. You know what I mean? If you're sitting there, I'm trying to think of a gambling analogy.

But and I won't think of one really quick, but It that's that's 100% I think you have to take that in I think that you need to be more patient You've got to sit there and look at these things and go look this market isn't efficient bottom line meaning it's not going to look forward to the things that should be if you have studied the underlying fundamentals of these companies or this sector Especially if they're like you said the non-sexy ones. I think you can get a ton of edge. I think you can get a ton of edge in this market. You better be right, as always, and you're probably just going to be after a little bit more patient. If you're getting all ticked off, why isn't the market building this in? And you and I have talked about this 100 times before.

Well, that's a double-edged sword. If it was building it in, you wouldn't have the buying opportunity that you got. Right? So take advantage of it. You're just going to have to be a little more patient. Yes. Speaking of not sexy, I talked with the manufactured home thing the other day.

as I continue to do research on that, the REITs for those compounded at 22% from 2010 to 2020. So like nobody cares about manufactured home REITs out there, right? But 22% these things, I mean, they're just printed money. And until REITs ripped after 2020, obviously like that's a bit of a headwind if you're a REIT, no matter what your REIT is. But how many people did you see on Twitter talking up their trailer park REIT? And in 2015 or something Just then you had you know, it's not like the share price was amazing. A lot of that was you know through shareholder yield and stuff, but Now what's funny? And I know you'll agree with if somebody asked that question to you and me We'd probably sit there and go. Oh, yeah. I know quite a few of those guys Right, but most people are not following Most people are not following those kinds of accounts, right? Uh, those were certainly not the um, my favorite counts of the ones that they follow this just crazy stuff. I just don't know anything about some like, I know, I know, 14 million company in Mozambique or something where I'm just like, this is awesome. That stuff's fun. I know, but you know, you know, it is awesome. But the one thing I used to, I used to really love that kind of stuff. The one thing that's gotten so much, it's gotten frustrating. And legitimately, I'm not crying. I'm not asking anybody feel sorry for me. But There's so much of that fun stuff that I've run across where I look at it now that you're swinging a billion dollar plus portfolio You just keep you can't buy it. You know close can't buy some some of that stuff. Yeah No, and I mean that's not I mean we hardly are size pinched I mean when you compare I mean we're still a sports car, right? Exactly. There's a lot of stuff we can do that plenty people can't yeah Yeah, but if you could swim consistently Yeah, if you could swim can say I will stand by this if you know what you're doing, and I think you need to be a genius. But if you know what you're doing, and you got some basic knowledge and discipline, and you're a fundamental guy, and analytics, analytical tools, obviously, like I've said, I've been one over, I think that's part of the tool, or definitely part of the tool belt. But if you just focused on, let's say you had a 10 million portfolio and all you did was invest in stuff that was sub 250 million market cap.

I still think that there's tremendous edge there and that you could compound it a rate that crushes the market if you know what you're doing. The competition is just thin. Yeah. Nobody cares. Nobody's in it. Nobody's paying attention. It's you and a few other people like you. That's really it. There's a lot of edge that can be found in the smaller stuff that just can't be found in mega caps. Everybody knows what's going on at Google and stuff. You know what I mean? There's no right. No. Yeah. Yeah. It's just, it's just fine to edge. I don't know if we were talking about this. I don't know if you and I were talking about this the other day, but I, you know, I feel bad almost even bringing the name of this company up without Pat online. But I 80, you know, like when we started buying that thing, remember, remember when we were talking about the autoclave and I'm just bringing this up guys, if you, as always, if you want to hear examples of us getting it wrong, we've got plenty of those too.

But just a perfect example of what we're talking about. When we were looking at I-80, they still were not as progressed through this debt payment balance sheet restructure that they went through. But we were buying it originally. I think we got involved around 600, 700 million market cap, something like that, right around that range. And from our time in the industry, they had that autoclave that needed some work, but was still permitted, still viable, still working. And we were looking at that thing going, i think your market cap is in the value of that autoclave alone and so then you started looking at the properties they owned and the gold reserves and the production they already had and everything that you knew about the mine and obviously there's no guarantee bet in this game but it was one of those companies where you didn't take a genius to look at this thing and go look if unless these guys are completely fraudulent.

There's almost no way on an accounting basis that this investment can lose money over an extended period of time based on today's price and my point in bringing that up is in a market that we've been told because of Electronics and because of technology is so efficient. That's garbage. That's garbage if that was true opportunities like that shouldn't have been there if that was true opportunities like Sandridge coming out of COVID shouldn't have been there, right? There's so many different examples. Cyclical troughs can be incredible. And especially in the nasty extractive industries

that no one wants to own to begin with, you get something in a cyclical trough. And I mean, they just give it away. Like it reminds me of some, you know, the offshore oil guys where you can kind of do some napkin math on the scrap value of their assets. And it's like, okay, well, Like we're good. Like it's basically what it's valued at or even less than what it'd be like. They could just have a garage sale and make more money in their market cap. Yeah. And I think you just hit on something so key right there, which is when you're valuing these things, it is so much easier to rest your hat on, at least in my opinion, in a situation like an I-80 where you have this, look, it's obviously A part of the gold an autoclave that cooks the ore that's obviously part of their company and it's part of the mining ecosystem and it's not new but. It's an asset that should be relatively stable in price regardless of within reason the movement of the underlying metal and that's another problem i think fundamental investors get in is they go oh this stocks under price because look at the gold reserves at today's prices well.

problem with that analysis is I don't know what those prices are going to be a month from now, right? Whereas when I'm looking at something like an autoclave, now, sure, the demand for that autoclave is going to go up or down a bit based on, you know, what, you know, how much, you know, how many companies are trying to shove their ore into there and the price of gold and all that kind of stuff. But the cost of making that autoclave, the value that autoclave represents is going to be pretty consistent. You know what I'm saying? It's also a potential revenue producer meaning They can operate that autoclave without producing a single ounce of gold and create some cash stream on their own too and that I always look for those assets that are kind of Out of the blue right like I guarantee you we are We do not represent the majority of i80 buyers where that does that desire that that The thing that convinced me to go in there with more size was the fact that that autoclave was on the balance sheet. And I think a lot of other people get, and the reason I think that way is because it mitigates my downside risk. If I'm buying a company for the price that the autoclave or for the value that the autoclave is worth, and I'm getting all this other stuff basically thrown in, that's just an extraordinarily de-risked investment, right? So if I get anything, if I get, first of all, if they want to sell that autoclave, there's a bunch of takers, right? A, but B, If anything goes right in the other part of the business, if anything goes right, right? It's going to be really hard not to

make a bunch of money on that. So that's what I always look for. I look for those things that are on the balance sheet that people, you know, that assets that are not dependent on a bull market. Does that make sense? You know what I mean? Yeah, yeah. It's the way I view the offshore oil stuff. It's the same thing. It's the supply and demand of the equipment that gets the stuff.

out of the ground. So like, and I think a lot of people mess this up. They're like, yeah, but oil is not doing good. And it's like, that doesn't matter. Like, I mean, it matters to a degree. But like, at the end of the day, it's the supply and demand of rigs, not the supply and demand of oil that's going to really, you know, decide this thing. But I think it's hard for people to wrap their head around same with like, well, it's a gold miner. So all I care about is price of gold. Yeah. But there's like, there's more to it than that, that you can look into. Yeah. And that those are like a little, you know, layers of the onion you can pull back on. I think they can that are helpful. It's in helpful for no other reason than understanding your downside, which is just as important if probably, frankly, more way more important than understanding your upside. Like you said, if you just hand with a bag full of call options, like, well, if I get it at the right price, I know my left tail is reasonable.

And my right tail is like, we'll see what happens with all these call options he gave me, you know, like it's just a comfortable spot to be. Yeah. Yeah. Yeah. Uh, now switching a straight, straights of our lives. I wish we got a key that background music. Like you said, like sans through the hourglass, man. So are the straights of our lives. So I want to name, we've had D day. Um, we had that other day. What was the other day? What was it? D day. And then we, before that, we had a. Liberation day. What was it? I forgot that. Yeah, Liberation day. I keep forgetting that one. I think today should be V Day because victory, it is now the Strait of Trump from what I understand. Indeed. You're flowing. It's open. We own it. When I hear them come out and say, make statements like we got 17 million barrels out yesterday. First of all, I highly doubt the number. Second of all, it's a ridiculous statement to make.

Because if that is the culmination of what you did over the last week and a half, which is probably more likely, then cool. You know what I mean?

Cool. So are you running a daily average of two and a half to three million barrels coming through the straight? Right? Meaning, maybe they did get, but it's not, they make it sound like, well, now we're flowing at 17 million barrels a day. And you're like, no, no. a one-shot transfer of that amount through. Even if you did, very, did you turn on any of the other wells that have been shut down? No. Did you? Right? Yeah, and to be clear, you can look at satellite imagery that shows you they didn't get crap through on the 31st. Boy, and this is the part that I don't understand. The only people that are going to believe you are the people that support you and you're going to make them look like idiots. I don't want to get stuck on the politics around it again.

Yeah, I think you're trackers out Sorry, our delay is killing us that Tinker trackers did a really good You know analysis where they showed exactly how much we've been getting through not exactly because nobody does exactly but how much to be getting through In each stage of the war the big takeaway is out of the straight from the beginning of the war to now is averaged 4. Something million barrels a day when pre-war normal for oil and products was 17. So when they said they got 17 out, they were saying we got as much as we got pre-war out on that day, which they just didn't, it's just not true. Now there's been like the first MOU period, we were getting 10 million barrels a day out. That was nice, that was solid. Oil got smacked in that process, partially rightfully so because you were getting 10 out. And I think they were pushed it up to about seven.

uh, before, before these, this last round of kinetic activity, but it's clear to me that since the kinetic activity started, you're way back, back towards that, like kind of two to five range the last two, three days, which isn't enough. This is why oils. Right. And you're back to Brent press and, and, you know, um, I think it was, it wasn't Rory. I think it was Warren, maybe that was pointing out. Yeah. I think it was Warren Pies that was pointing out on his, on his Twitter site that he's like, Hey, I hate to be the bearer of bad news, but a foil stays here for any period of time. That's just strengthening the, the, the rate hiking and they have to, if, if, you know, I think we, yeah. And I, I look, I'll continue repeating what we said all along. Hopefully they do.

It feels even stupid saying it, but hopefully they do have some kind of strategy and this thing is going to come unstuck anytime soon. I will just, I'll just keep beating the drum on. If you're not holding oil through this, I don't now watch. If I say that, it's probably like the, it's probably to go down 15 or 20% in the next two days, kind of like my miners call. But, but I just, the reality is what the reality is. And until I see any evidence that they're changing, that there's a different tack that they're changing. Um, it kind of feels to me like we're doubling down, which is just even more confusing in this. Do you have a different read? I mean, I don't, you kind of feel like this is just kind of doubling down on the existing trajectory. I mean, there, there is no trajectory. Really. They just keep changing their mind going from economic warfare to kinetic back to economic back to like, let's do a deal back to, we don't need a deal. Like it's just, it's just like a ad hoc day by day thing. One thing I will say though is there seems to be a new focus on.

which this took six months, I don't know, but a new focus on refined products, which is where the price problems really, really are. We talked about the potential of 6 diesel yesterday, which I think is very possible. The problem for them is that if they do put the focus on refined products and they somehow move the needle, the reality is the only way to move the needle on products is to have more expensive crude because more throughput is more demand. It's a tough one for them now. If Ukraine stops hitting refineries in Russia, that on its own would be a significant help. But even that requires more throughput of oil turning into products. Especially between now and the midterms two months out, there is just no magic pill other than finding a way to reach an agreement that allows normal flows through which obviously feels like a not going to happen. You know what this feels like? Much more, much more so than a trade war or a kinetic war. It feels like you're watching a really inefficient but extraordinarily hostile divorce, right? Where like at one minute, they're at the table, they brought in the mediators, they're going to pass some, some frequent flyer miles around to everybody. I'm thinking about Vince Vaughn, Steven, you know, in wedding crashers, if you want to throw a little my way, that's fine, right? And you're like, okay, we're getting to a resolution. And then she's like, but I'm keeping the pink Porsche or the red Porsche. And he's like, to hell you are. And I will go, you're not keeping the shih tzu, right? Pepper is mine. She's staying with me. And then boom, it all starts again, right? I'm taking

back the rental house. That's what it feels like. It feels like to well, At this moment, one actor more belligerent than the other, but it just, it feels like an irrational, like just we're throwing, it's like a food fight. Yeah. We literally went from calling them like, Oh, these are the rational guys. We had regime change. These guys are legit. You know, we're going to work together. It's going to be awesome. And now we're back to being like, these guys are evil. They were going to nuke the whole Middle East and America.

So to your point, like that's exactly what a nasty divorce would sound like. Uh, and that's where we are. And now if we get back to some deal mechanism in a few months with, because it was too expensive, then we'll be back to being like, Hey, these are the good guys. You know, we're going to all work it all out. And yet seven, do we have, we have, have we at the seven month park yet? Are we there? No, it's six. March, April, May, June, July, August. Yeah. So we're six months and a couple of days to be fair. So yeah, we're closing, so we're in the seventh. We have begun the seventh month. What did you and I say from the beginning? I mean, I think we just kind of threw out some rough projections. I think we were like, you know, wouldn't be surprised if this went six to eight months or something like that. The wild thing though is to be here beginning the seventh month and I don't feel, again, anything could change at any moment, but it sure does not look, it feels like you're at loggerheads. It doesn't feel like you're any closer to any kind of resolution than you were three months ago. And as a matter of fact, because you've seen the last three months play out, If you feel more constructive than you did three months ago, good on you. I hope you're right. But boy, sitting from my chair, I don't see anything that makes me feel more constructive or more positive about the situation. Do you? No, I mean, Iran's whole position really hasn't changed throughout the entire thing. And our position, like, it just feels like someone comes up with a new idea about once every two weeks.

And, and like the administration really latches on to it. Like, oh, that's, that's the ticket that's going to work. And then that strategy ages for about three weeks. And then they're like, wait, that's not working. And then like, you get a shift. So like, I'm still not going to let it go that we said, you know, that they're all their oil stuff is going to blow up and they were going to quit and surrender. But like they, they have reduced their production all the way

down to domestic consumption. So like they're done. Like. they already ripped their production down to nothing except for what they can consume. And that didn't work. So like now it's like the economic D-Day thing, which when the Treasury Secretary launched that, he said, like, this is going to take down the regime. This will do it. And then literally today, he said, you know, well, the goal wasn't really to take the regime out with this. And it's like, whoa, whoa, whoa, you literally said it was going to. So like, I think they watch it age and they realize like, ah, not going to work. So like China told us to pound sand.

Pakistan told us a pound sand Russia told us a pound sand like they're not gonna You know, they're not gonna do anything here. They're daring us to throw the secondary sanctions on they're not gonna do it So like that whole thing's basically dead in the water already. So it all comes down Oh, there is a new plan actually and that is when they hit a tanker. We hit one of their tankers That's like a new thing that's spawned in the last like three days So we'll want to give that one to three weeks. Do you live that one? So people don't know this If people are really plugged into sports, they might know this. I've had some color filled in to me behind the scenes on this one. Just I know some people that are involved and in the know with this particular situation. And so I've kind of gotten, and again, their inside read is not very different from those that are paying attention on the outside. But the situation reminds me a lot of dysfunctional sports franchises. And the one that pops into my mind specifically are the Arizona Cardinals, right? And the reason why I say that is you will see fads in sports, right? For instance, think back to 2013, I marked that year, first year of the Seahawks won the Super Bowl. That was an offense-driven league that believed there was no defense for the perfect offense. Seattle came in with a tough running game and a brutally tough defense and just demolished those kinds of teams, right? And so it sent, oh, defense is now the thing, right? I have watched the ownership of the Cardinals go to offensive mode.

defensive mode and back in the space of two to three years while you're looking at them and saying, hey guys, one of those decisions you picked could be right. You haven't even given them enough time to know that, right? Meaning your attempt to embrace defense first, you didn't even do it. So you're not even at a place where you can sit there and make the

evaluation that it didn't work, right? And that kind of feels to me it's like, we're grabbing on to the fancy thing of that day. And as soon as it gets a little less shiny, a little bit of that shine wears off or whatever. I'll grab us another one, right? Oh, this is our story for today. And it just, yeah, and it just, you see that kind of decision making in sports franchises. I think baseball is another perfect example. You watch them go, okay, they watch Moneyball, they got all excited. They stayed up with each other till two in the morning sipping a few bourbons. They decided we're going all analytics. Then they get smoked the next year.

and they're back to hiring an old manager that's like, you got to do it by the gut. You know what I mean? It's like, they can't, it's not even that it doesn't even, it doesn't look like they're making good decisions, but they're not, they're certainly not making decisions based on a framework and based on principle, right? And one of the things that I know, and a granted, I have never run anything close to as complicated, big, or, you know, whatever as the US government, let alone a department of it, the military, all that kind of stuff. But what I do know is that when you're leading something, whether it's a company, whether it's a sports team, whatever it is, you have to have a culture. You have to have an ethos and you have to have a framework.

So you don't know what decisions you're going to make when confronting a new problem, but you do know the tools that you're going to take out. You do know the process you're going to follow to dealing with it, fully acknowledging that that process isn't perfect, but you as an organization or an individual operator is better when you are better, when you have a disciplined process that you stick to through thick and thin, because it's sort of like the analogy of trying to time the stock market. Right? Meaning, when you're trying, that's not a plan. Right? That's not a plan. Because what happens when you miss? What happens when you get bearish and the market rallies 30% on you to new all time highs? Are you going to throw it all? You know what I'm saying? You need a philosophy. You need a plan. You have and it just feels to me like we are just adrift. Right? Like, there is no There is no purpose. There is no framework that we can fall back on and say, look, if we accomplish A, B and C, even though this part didn't work out, it aligns up with our framework. It just, I don't know if you have that feel, but it just, it feels to me like the gang of Chicago cops that can't shoot

straight, that nobody knows the right hand doesn't know what the left hand's doing. And there is no overarching theme. Yeah. To complete the analogy as an expert and incompetent sports ownership, It really is like we let Jimmy Haslam and the Brown's ownership group run this war. It's exactly what it would look like. We would be drafting Johnny Manziel and then cutting him and like, you know, the whole nine yards. So yeah, I think it makes sense. And I think it actually, it aligns well with portfolio management where like you're in, you're out, you're in, you're out. Like you don't believe in anything you're doing. Like you're just taking shots and hoping things work out. Like it really, it's about how it works.

You know what he did I did this is that we're on to it This is a perfect analogy because to be fair to Trump I think one of the biggest problems with this whole engagement is it cut against what he personally had talked about for so long and his campaign promises he cut against his principles so Flipping back to portfolio management at the height of the bull market all of a sudden he became a technical analyst and bought Nvidia thigh you know what I'm saying Now he's 34, I'm not, NVIDIA is not the best proxy. Okay, Tesla, SpaceX, whatever, throw it in, right? He went for being a value investor. He finally gave in, bought the momentum play. Now he's 35, 40% underwater. What does he do? If he sells it, he realizes the loss. He's got to tell all of his investors that he made a bad move, right? If he holds it on, if he holds onto the petition, he can hope that something good happens. He rallies, he looks like a genius again. But you and I both know.

If we converted that over to portfolio management, it's not about how this ends. It's about realizing that you didn't follow your process and you screwed up. And you and I both know, because we both operate off the same rule, what is the first thing that you do when you come to that realization? You cut bait, right? You get out. You stop the bleeding. Full stop. Doesn't matter what you think could happen. You take it on the chin and you move on. Not only does that save you from future pain. It frees you up mentally, you know, get you back on track. You can see the same thing happen to their administration, man. They're stuck in the mud, right? They really are. And I feel like I'm watching a guy that loaded up at tech right at the top, doesn't want to admit he's wrong. And he's in too big now. And he's got, he's not looking at, he doesn't have good choices on either side of him.

Exactly. I do think it's a good analogy. Like if we went 80% long AI plays and then the first 10% drawdown, we'd be puking it like crazy. And then it would, and if it started a rebound, we'd be back in there like this will work. It's like, it's like they're, you know, the, the new idea fairy that they keep getting of like believing in it until it has a drawdown. Yeah. Instead of just cutting. just cutting your losses and taking your losses, which I'm kind of surprised again, looking at, looking at Besson's history that he hasn't been a more of a voice for that. Maybe he is. Like I said, it's hard to, it's hard to handicap that stuff in.

The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. Well, we still got time because we are getting a little bit pressed here, going on a little bit long. I wanted to really talk about data centers. I was on another podcast today where they were asking me all about the economic viability of data centers. And like so many things in our culture today, In the world too, there are all these extreme positions, right? I'm anti-data center. It's like the vaccine. I'm anti-vax. I'm pro-vax. And people are like, what are you? And I'm like, well, I'm neither. I think that it's really possible that giving a kid 80 of those things could have some bad impacts. I thank God for things like the polio vaccine, right? Like there's a lot of room in the middle. I think data centers are similar.

Right. Um, I think that are they going to be, and you, and I'm going to lay out, I'm just going to kind of tell you, Chase, what I was saying on this, on this podcast. And as always, feel free to completely disagree. I don't think you will, but feel free and shoot holes in what I'm saying. But, um, my take on it was this, look, I do not believe that this is the economic panacea or the engine of growth that is going to drive the next 20% of US GDP growth. I don't think it's intended to do that at all. I don't think that's the thought of the people building them. I don't even think that that's on the bingo card. However, I do think history is replete with a lot of examples of standing in the way of technological progress and advancement is not a good idea. So what do I think the posture on it should be? Look.

I think we are all aware and I think you can see it in profit margins, meaning I run a money management business. You and I are both ardent capitalists. We're both big fans of free markets. Okay. But as an American, I can sit back and look at the, look at the miracle that America is, the upward mobility, the thriving middle class. Look at all the, I mean, America was effectively, I mean, you can make an argument at Rome at times back in the day, but America was effectively the birthing place of the middle class, right? At least in the modern way, the way that we've come to understand it and appreciate it and pursue it. And when you look, you know, data is a hell of a thing. When you look back at 150 years of market information, it shows you that regardless of all the ups and downs, innovations, technological advancements, I've always found it interesting that profit margins, while going up and down, always centered around that median line of 16, right? 16, like, you know, 16% margins, right? It was the average across the S&P in and out of cycles for decades. And then all of a sudden, for almost two decades now, you've jumped up 40 to 50% on that long term average. No, no, over 50, right? You're over 50. You're, you're, you're about 55, 60% of that long term average.

And during that same period of time, you have the largest concentration of wealth. You have cultural angst to levels that are probably only comparable to the Civil War in terms of periods of times in our country. And I think if you're not seeing that as part of the problem, I really don't know what you're looking at. What's the answer? I don't know. Again, because I believe in free markets and capitalism, I think we need to tread lightly. But to think that we should approach this, like if I'm looking at the data center quandary, in my ideal world it would be structured more like a public-private partnership. so it could actually give benefit right because one of the things about capitalism was that if you had a thriving company and if you think to 1850s or 1900 or 1950 or even 1970 it's really easy to see how this is the case as a company becomes more profitable and grows it has to hire more people and it's typically going to hire people right around the vicinity of where it operates to come into the factory make more widgets right and so that.

that profiting, that growth of that company is providing instant positive feedbacks both for the local populace and for the local government, right?

When you look at the structure of these new technology companies, and it's not because they're evil, it's because they're grotesquely efficient, okay? But the outcome might still be the same. They don't have that same type of relationship in terms of their growth and the percentage of that growth that's feeding back to the populace. or the local government or things like that. And if we were more creative and if we were coming up with kind of a Teddy Roosevelt 2.0 approach, I think that's one of the things that we have to address because I think we need the data centers. I don't think we should stop that progress from happening. But I do think that we should try to structure them at all possible in a way where some of the benefit from it because Those data centers are really running and are being powered by things that represent kind of the property of all Americans right whether it's hydroelectric power Well, you know what whether it's just the use of land and and I'm not saying private ownership doesn't exist But I'm just saying if we continue down this path you will watch profit margins on the S&P go to 30 then go to 35 and And you let that play out and that whole flvella scenario that that cuppy was talking about it doesn't seem like it's too far off if you go down that path. So I'm saying yes to data centers, but I just think that they should be done in... Look, I don't have all the answers, not even close, but I just think it should be done in some way that represents more of a public and private partnership that ensures that some of the benefit and productivity of that actually feeds back to the local government that it should be feeding back into. Yeah, and I think that's...

Something that makes them difficult is you know, I've seen the president like on social media basically Chastising you know states towns whatever for not taking them talking about how great they are I think the reality is they don't provide that much employment. They do have a significant footprint So like if you're the average mayor governor or whatever I mean, they're literally designed No, and they're designed not to require a lot of employment Right. I designed that one to be, to be fair to clear though, like even, even the best manufacturing you can do now. So like we want to ensure a bunch of manufacturing and, and rightfully. So a lot of that's the same. Like it, it, it's mostly automated stuff and a few people, if you want to be good at it, if you want to be competitive with it, right? Now, if you want to have a bajillion people's putting cars together with wrenches, like good job program, really bad competitive.

in this program. And the same for the AI side. The best AI is going to be really efficient, which means it's going to use a lot of power and not a lot of people. And that's not necessarily a great bet for a mayor or a governor. And I think it's why you see some pushback. Now, some of it's just political because if it polls bad, then everyone's going to be against it until the election's over, right? So some of the political side of it will Wash away some after the election and some of these people that are against it will suddenly be forward again But to be clear too like this is bipartisan. It's not it's not just the the crazy liberal states saying no, thank you like Texas You know putting moratorium on the stuff Pennsylvania, which is a purple state like so that makes it clear to me It's not a slam dunk thing for the locality is to be like this is amazing. I'm gonna get so many so many benefits from this It's it's tricky It requires a lot of thoughtful policy between federal and state and local governments. Yeah. And that's why I feel like, and I am totally wide open to this being incorrect and for there being better avenues and better mechanisms to do this. But that's why I firmly believe that there needs to be some type of additional write-off or tax benefit based on the percentage of your revenues they get paid out to employees.

hiring new employees, I feel like we have to create some type of incentive. Like I said, tax code is the first thing that comes to mind because my feeling is that you could structure something that could be immediately beneficial and incentivize companies to hire more people and kind of at least make that burden of hiring somebody a little more gray. Right because they're like well it does cost more but look at the tax benefit we're getting from hiring that you know i mean just getting it somewhere in that more competitive range probably a lot of other additional things you can do. But you know every day that goes on and on and look i'm a guy we both are we're guys that are winning economically from the current structure of this. Economy and yet every single day looking at it is going a structurally things have to change man and and.

Um, I don't think that makes you a saint, but I think it makes you aware, meaning look at this country, like when we're all progressing and everybody's winning, those have been the best times, right? That's the best time for everybody. And, um, you know, when we all share is just too big. This is, yeah, it is, it is. And it's not something that's not an admission that I

come too easily. Right. Like I said, it's benefited me indirectly. I'm Mr. Free Market, but. there comes a time where, hey, antibiotics are good. Doesn't mean you take them every day like a vitamin, right? You can overdo that too. And I just think that we've overdone some aspects of it and it just needs to be restructured in a way that makes more sense and that reflects the reality that we're looking at today. Yeah, all my closing thoughts will kind of hinge on something. Everyone's way you hear something that just shakes you and you're like, wow. And that happened to me a couple of weeks ago with a I can always read his first name, but his last name is McDermott. He runs a Japan focused fund out of Tennessee. And he talked about the Japanese market. We all, you know, as Americans, like we're so market focused, like we're all proud of how great our stocks do. And you look at Japan and like what a joke that was for like 20, 25 years, right? And that's true from a returns perspective. But then you look back on it now and you're like, man, The thing is though, they kept all their industry for the most part. They kept their manufacturing prowess. They kept the know-how. They kept that labor share of GDP that we lost to capital. They had to sacrifice margins and returns and net worth of the individuals in the country. But now you look back on it and you're like, I don't know. That seemed dumb.

for that long stretch. But now I'm looking at it like it would be pretty nice in America to have, you know, a lot of the things that Japan has that we don't have. And while we just have a pile of money, you know, like as well, some people, you know, that's a great point to bring up, man. And I've seen it just in running a company, right? Like I can sit there over the years and show you, okay, this was awesome. This was this period of time where a bunch of investments we made paid off and our margins were phenomenal, right? And then to keep growing the company. We took those margins and reinvested, drove margins down for a while. And so if you look at even at our margins, you'll see this. For too long in the United States, we've just been stripping the plane. If you want a great analogy of what we've been doing, go watch that new documentary on Boeing that's on Netflix. And you remember when I was crusading against Boeing before that actually happened, everybody thought I was a loon. A funny story. Did I ever tell you the story where that Boeing guy called me, wouldn't give me his name, but called me after one of the episodes aired. And it was kind of creepy because I was sitting there going, I'm like a weekend radio show on a small

Seattle based deal. And I'm saying Boeing's a fraud and the stock's going to collapse. And a Boeing operative called me and I was sitting there going, okay, you guys, and at the time I think they were floating around like a 300, 400 billion, 2,250, 300 billion market cap. And I'm like, You care what a local guy on the radio says on a weekend show and I was like boy, that doesn't really convince me I'm wrong But anyway, right what were they doing? They were putting up numbers that were not indicative of the underlying company It was just the endless cost-cutting at the expense of human lives And that's what made them look like they had 29 30% sustainable margins, right? I feel like our economy has been doing that for too long. And it's time to time to have a reinvestment cycle. Yeah, like the profits over people has always been like a left wing trope, I didn't appreciate. But on the right kind of true even at scale now to where like, not to say we have to go crazy swinging back the other way, but like, but the like the Like a middle middle of the two sides view of like the stakeholder balance of like yeah, like make make sense And we got to find a way to get back that way or like I mean the bottom line is if you don't the political consequences are Are you know unkind then you get to see like this all of us talked about? Yeah, yeah for all of us. Anyway, do you got anything else buddy? No good to go All right, man. That does it for me, too. So as always, guys, you can follow us on social media. I'm at KYR Radio on X, Chase's app, Pinecone Macro. Get the video feed on YouTube. Just search Know Your Risk podcast. You guys know the drill. Have a wonderful evening. We'll see you again tomorrow. You'll listen to Know Your Risk podcast. Download and subscribe at KnowYourRiskPodcast.com. Investment advice cannot be given without a client service agreement. Zach Abraham is an investment advisor representative of Trek Financial and SEC Registered Investment Advisor. Bowler Capital Management is a marketing name only and does not carry a separate registration.